

Industry resilience won't last indefinitely

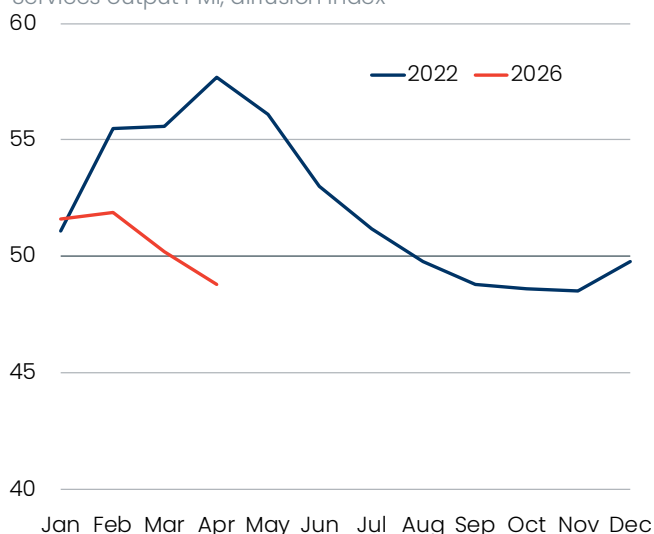
- European industry has been resilient to the effects of the US-Israeli war with Iran. So far, firms front-running the supply stress in oil- and natural gas-intensive sectors alongside the ramp up in defence spending have acted as temporary buffers.
- But the clock is ticking. Unless energy exports from the Middle East pick up soon, these buffers won't be nearly enough to offset the hit from falling real incomes, growing supply stress, and deteriorating confidence.
- We've cut our forecast for Eurozone industrial production so that it's essentially flat over this year, compared with projections of roughly 1% growth pre-war. Excluding Ireland where the fading impetus from front-running US tariffs is a large drag, we estimate industrial production will increase a bare 0.5%.
- Downside risks are clearly building the longer the Strait of Hormuz remains impassable and energy production impaired. In our [downside scenario](#) for the impact of the Middle East war, industrial production would drop by over 1%, ending hopes of a recovery and extending the sector's malaise.

European industry's resilience against soaring energy prices has improved compared with 2022, but time is running out. Our baseline forecast assumes that energy prices will fall rapidly in H2 as the conflict winds down and Middle East energy production and exports recover quickly. Consequently, we have cut our European industrial production forecasts only moderately. However, the risks are increasingly tilted to a more adverse outcome, and industrial resilience can't be expected to last. We also anticipate significant divergence between industrial sectors.

Chart 1: Manufacturing PMIs show the sector picking up despite the energy shock

Eurozone: Services and manufacturing surveys

Services output PMI, diffusion index



Headline manufacturing PMI, diffusion index



Sources: Oxford Economics, S&P Global

At this stage of the conflict, the evidence pointing to resilience is mostly survey based. For instance, the Eurozone manufacturing PMI has risen throughout this year, pointing to a pickup in industrial activity. This is in sharp contrast to the services PMI that has indicated a sharp slowing – a reversal of the sectoral fortunes seen back in early-2022 at the onset of the last energy crisis ([Chart 1](#)).

Other surveys like the ESI are showing a similar pattern in the relative impact on both the sectors this year, although less pronounced. So, we think the PMIs may be slightly overstating the degree to which the sector is sheltered from the energy price-related headwinds. But the indicators of actual production growth are typically reliable enough to think the resilience is real.

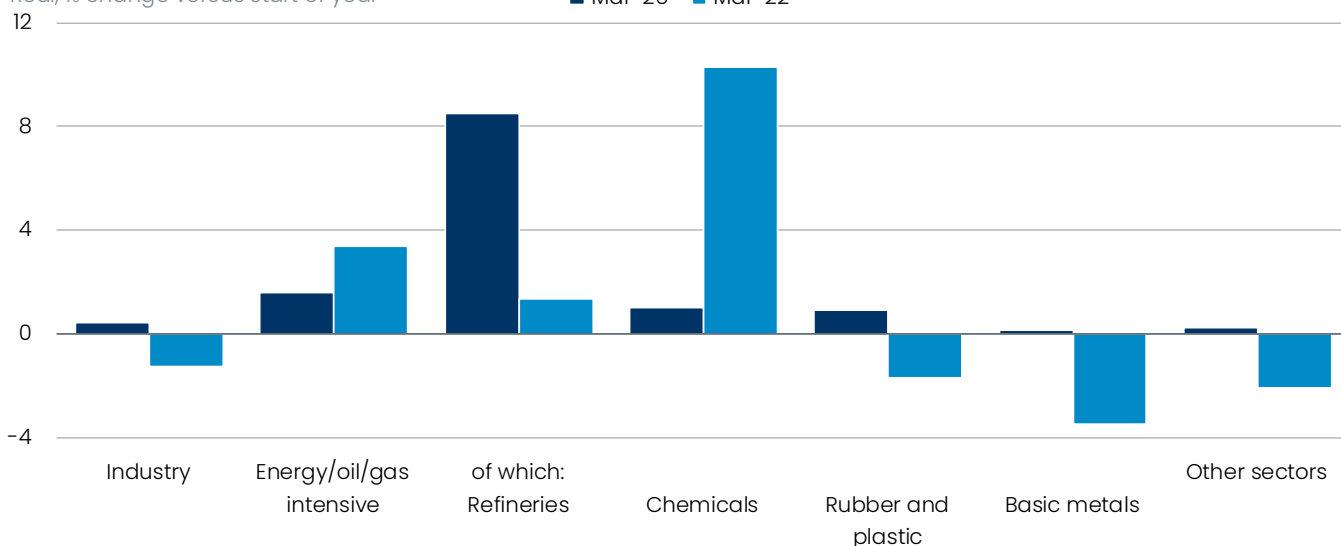
Early evidence from the 'hard' data is also mildly positive. Eurozone industrial production rose modestly in March and is up from the start of the year. Of course, March data only captures the effects of the very early stages of the energy shock, but back in 2022 output had already responded more forcefully, dropping by over 1%, despite both shocks starting at very similar points in the year ([Chart 2](#)).

Chart 2: Industrial activity holding up better than in 2022 in energy-intensive sectors and elsewhere

Eurozone: Industrial production changes in response to energy shocks

Real, % change versus start of year

■ Mar-26 ■ Mar-22



Sources: Oxford Economics, Haver Analytics

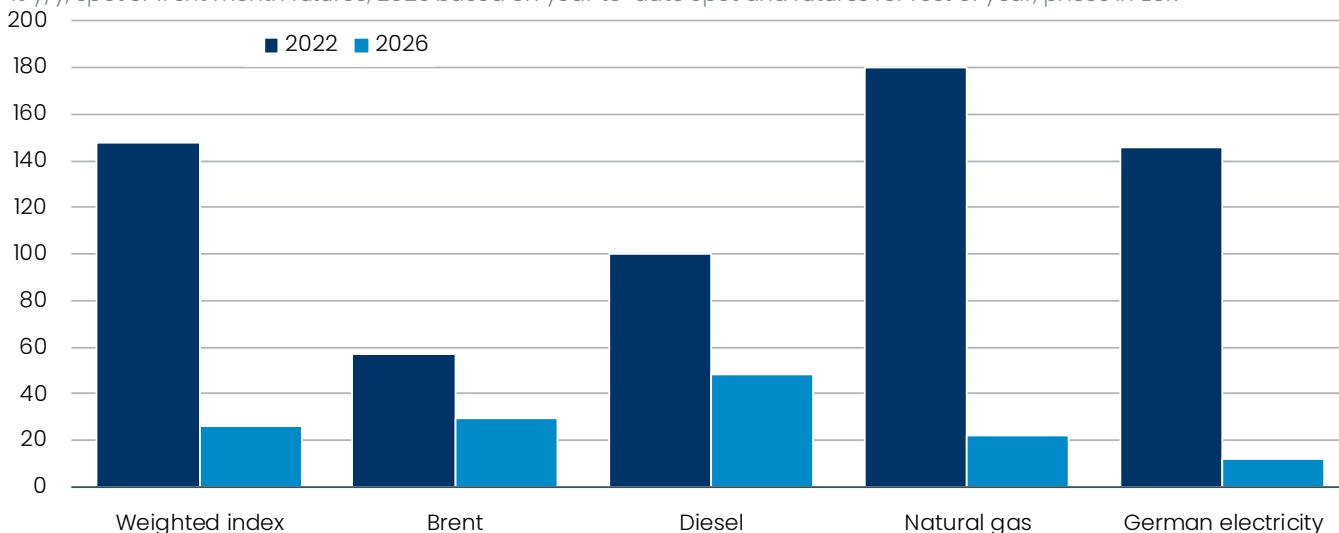
We see three key reasons for the industrial resilience. First, the energy shock is an order of magnitude smaller than in 2022. Price increases have been vastly lower across different energy commodities ([Chart 3](#)). In response to the breakout of the hostilities earlier this year, we [highlighted](#) that this shock would be different than the previous one. Back then, Europe's energy supply suffered a structural hit, whereas the current crisis is likely to be temporary as energy flows are expected to resume when the conflict and associated disruption subside.

So far, energy prices support this assumption. Natural gas and electricity prices especially are far from pricing outright physical shortages. A heavier reliance on renewables and the fact that French nuclear fleet is running near full capacity are major differences. A much smaller depreciation in the euro is also helping to contain the rise in import prices and wider cost pressures. These differences mean that the hit to consumers' real incomes on the back of rising energy prices has been much smaller. And, most immediately, the lack of outright physical shortages in European natural gas and oil supply so far also limit the pressure on domestic supply chains and the output of energy-intensive sectors.

Chart 3: In sharp contrast to 2022, gas and electricity markets aren't yet pricing severe physical shortages

Eurozone: Commodity energy prices

% y/y, spot or front month futures, 2026 based on year-to-date spot and futures for rest of year, prices in EUR



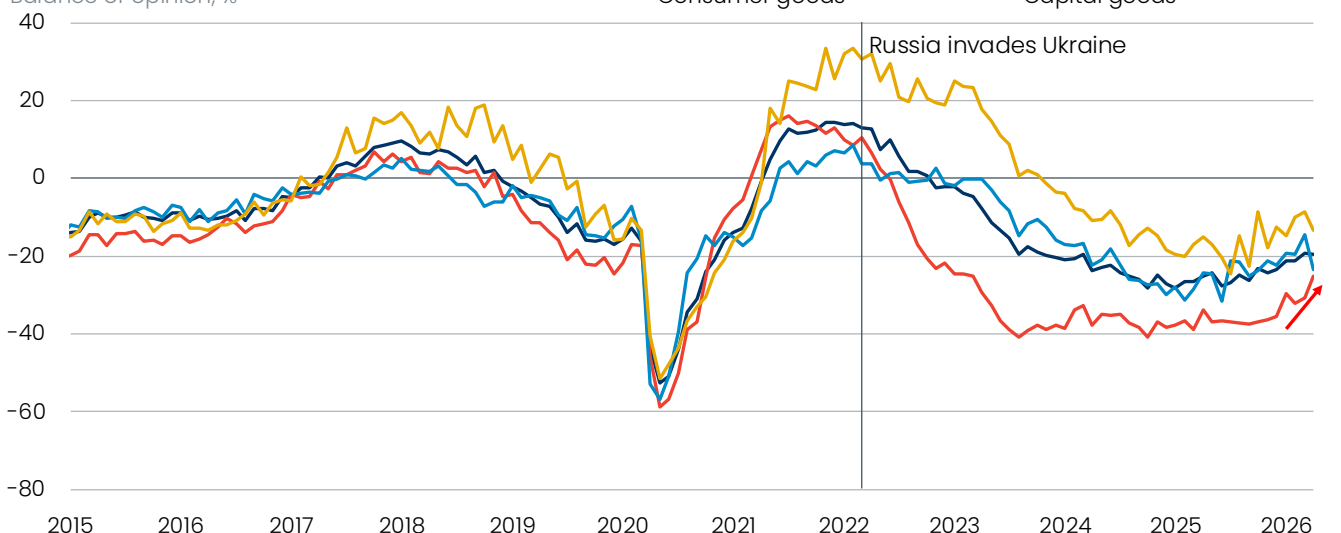
Sources: Oxford Economics, Haver Analytics

The second support factor is closely related. Energy-intensive (oil and gas) sectors appear to be the beneficiaries of the conflict for now. Price gains on the back of the export- and supply chain-disruption to competitors in the Middle East and elsewhere in Asia have made Europe-based production profitable again. We also think precautionary orders of inputs have risen to front-run future price spikes and rising supply pressure down the line. This has been a key feature mentioned in recent PMI surveys.

Chart 4: Energy-intensive sectors' order books continued to improve in April; consumer demand waned

Eurozone: ESI survey - manufacturing orders books

Balance of opinion, %



Sources: Oxford Economics, Haver Analytics

The support to domestic activity was already evident in March industrial production as European refineries ramped up output to the highest level in eight years. More recent evidence from German industrial gas use through April suggests that German chemical production could have built on the gain shown in March. [Surveys](#)

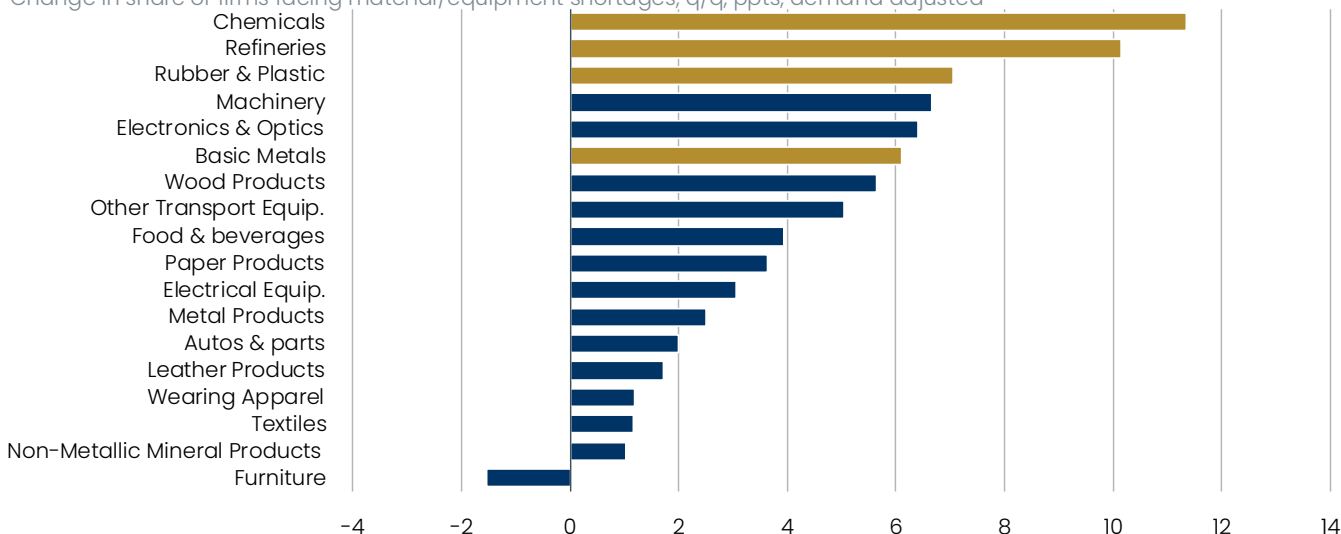
point in the same direction. In fact, the continued gains in orders by energy-intensive sectors shown in the April ESI survey broadly offset the slump in demand for consumer goods, suggesting this support factor may last through Q2 ([Chart 4](#)).

The rise in orders in those sectors was accompanied by a sharp rise in the share of firms citing equipment and material shortages well beyond what the rise in demand would suggest ([Chart 5](#)). We take this as a sign of Middle East disruptions causing supply stress, while at the same time functioning as a lift to demand for domestic supply. The argument extends to other sectors, too, even if to a lesser degree. Worries about Asian supply chains that are much more directly affected by their reliance on Middle Eastern energy exports have clearly increased.

Chart 5: Middle East export disruption causes spikes in supply stress, especially in energy-intensive sectors

Eurozone: Material and equipmentshortages

Change in share of firms facing material/equipment shortages, q/q, ppts, demand adjusted



Sources: Oxford Economics, Haver Analytics

Interestingly, the recovery of orders in the most energy-intensive sectors pre-dates the war. Speculatively, the start of the EU's Carbon Boarder Adjustment Mechanism could also be playing a role. Indeed, firms' assessment of their own competitiveness in EU markets bounced in Q2. But it's hard to pinpoint the degree to which this reflects any underlying policy-driven improvement or a temporary lift from the war.

Still, demand in consumer-exposed sectors has taken an immediate hit, in line with our [view](#) that a temporary energy price surge will predominantly hit consumer spending via a real income shock. Large discretionary items such as cars or furniture are especially at risk. Should energy prices fall back in H2 as expected, this risk is unlikely to derail the industrial outlook, given the temporary drag and limited weight of consumer sectors in overall industry.

Equally, however, an extended conflict would substantially increase the adverse consumer shock. It would also likely affect corporate capex more substantially, well exceeding any support from an inventory built-up downstream from energy-intensive sectors.

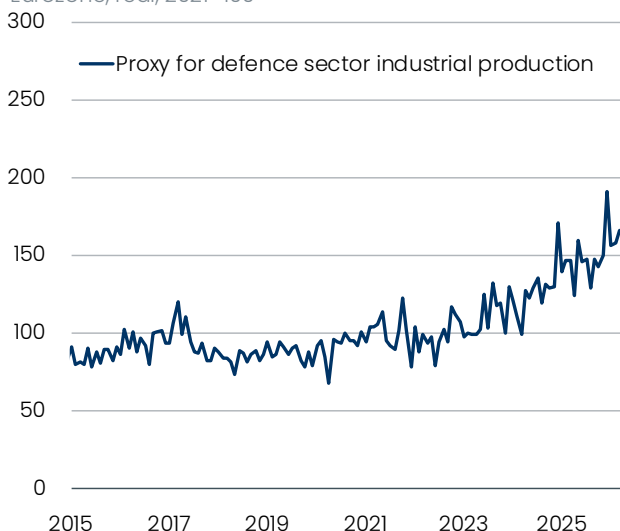
The third support factor is likely the weakest, but also the one that has the most staying power. Defence spending has continued to ramp up on the continent, which is having a gradually building impact on European supply chains. This factor is hard to track, given the scarcity of timely official data on the defence industry. However, we think it's an important buffer against the impact of the war.

Proxies point to over 10% y/y production growth in Q1, and we think, the defence sector's capacity ramp-up will increasingly filter down to capex spending, softening the hit to the capital goods sector from the adverse cyclical shock (**Chart 5**). Scattered signs in German factory orders show a rise in domestic capital goods orders. And the bi-annual ESI investment survey showed resilient capex intentions, with plans in the Spring slightly up from Autumn, not least in sectors that should benefit from defence demand.

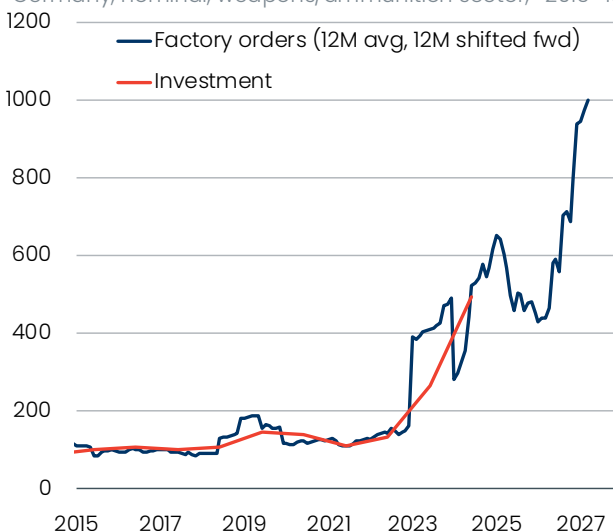
Chart 6: Defence sector output continues to ramp up, but will need a capex surge to meet soaring demand

Eurozone: Defence sector activity and investment

Eurozone, real, 2021=100



Germany, nominal, weapons/ammunition sector, 2015=100



Sources: Oxford Economics, Haver Analytics

Overall, pockets of strength within industry are holding up, and output may show surprising resilience in the next few months. And if energy prices fall back soon, the temporary support factors we identified may suffice to bridge the gap until broader demand recovers.

However, the degree to which the cited factors can shelter industry from the energy shock shouldn't be overstated. We have cut our forecast for industrial production growth this year to 0.1%, down from just above 1% before the war. Excluding Ireland, where the fading impetus from front-running US tariffs is a large drag, modest 0.5% growth look likely. But in a prolonged war scenario, output would likely drop by over 1%, ending hopes of a recovery and extending the sector's year-long malaise.